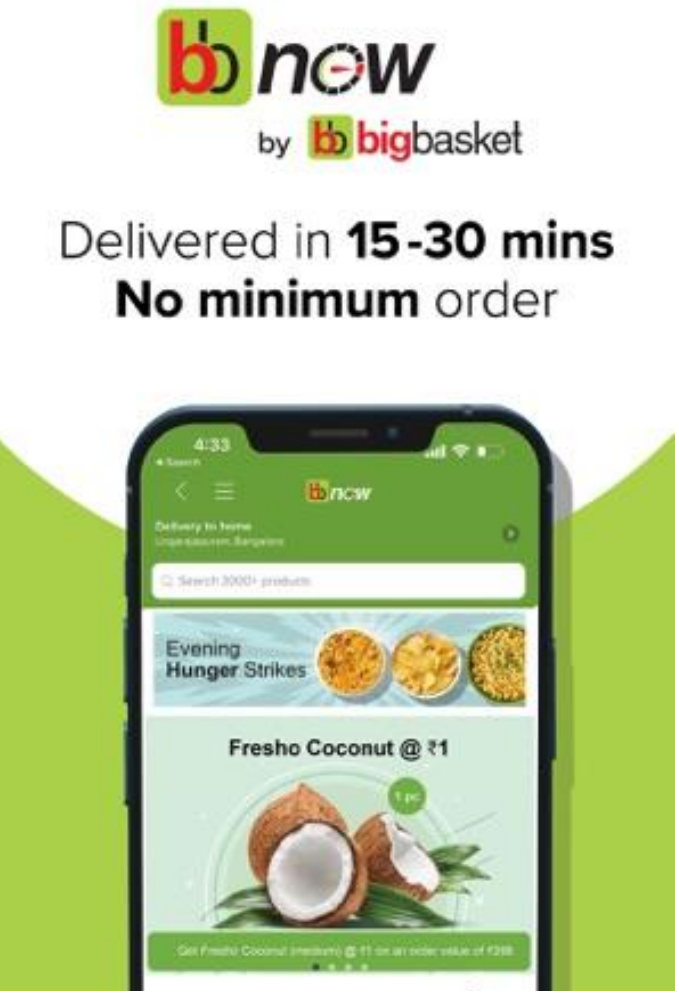


BBNow: Navigating the stormy qCommerce!

Improving the Market Share & Brand Position

Members

- Meher Sehgal
- Tharun Erukulla
- Swetha S

Hypothesis #1 : Increase BB Now engagement by Revamping home

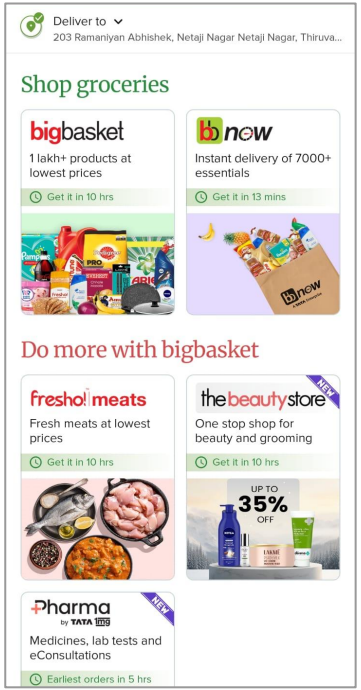
Context:

- Out of BB's monthly orders of 15 Million, approximately 4.5 Lakh orders came from Quick Commerce [As of April '22]
- The user retention for E-grocery is one of industry's highest **proving loyal customer base**
- **BB's** current brand extension strategy **to BBnow** does not position it as a Q-commerce app capable of delivering all categories of products including fresh meat, beauty, etc.

Objective:

- Revamp UI to nudge e-grocery users to use Quick commerce as well
- Position Big Basket as a quick commerce app

BB's current Home Screen



Proposed Solution

★ **Unification of entry points, search results & cart experience** for all Big Basket Categories - Big Basket, BB Now, Fresho Meats, The Beauty Store & Pharma

★ **Prioritization of Q-commerce products** by positioning them at the top of the home page, displaying them at the top of search results & distinguishing them at checkout

★ Interaction with the Q-commerce products takes the user to a **dedicated Q-commerce page**

★ Positioning the **E-grocery** products (delivery time - more than one hour) **below** the Q-commerce products

Key Benefits

➔ Positions BigBasket Now as a **Q-commerce app**

➔ **Does not cannibalise** their E-commerce (BB) customers

➔ **Reduces Cognitive Overload** of multiple convoluting categories

➔ **Eliminates wrong perception** that some meat, pharma & beauty products cannot be obtained in 15 mins

Hypothesis #2 : Improving user experience using Personalisation

Persona



Neha Malhotra

Age: 32, Marketing Manager, Mumbai

Needs

Due to high stress and busy schedule she doesn't want to go spend time on buying groceries, she also regularly hosts house parties

Wants

Wants items delivered quickly at affordable delivery cost

Personalizing user experience helps user find relevant products easily leading to better value creation.

Elevated User Journey with personalisation embedded

Bbnow Home

- Showcase section with recommended products based on the user's past purchases and preferences at the top. *For Ex- If they often purchase party items, display relevant suggestions.*

Search

- As the user accesses search, show past purchases and entry access into their favorite categories.

Product Page

- On each product page, suggest related or complementary items based on the user's purchase history.

Checkout

- Show personalized recommendations for last-minute additions.
- If the user regularly buys certain items but hasn't added them to the cart, show a reminder or suggest adding those items.

KPIs & Impact - Hypothesis 1 & 2

6M
Monthly Active users of Big basket app

> 30%
Customers place an order in a Q-commerce app at least once per month

5%
Industry benchmark on Activation rates for E-commerce Apps with unoptimised onboarding

20%
Industry benchmark on Activation rates for E-commerce Apps with optimised onboarding

➔ *We hope to tap into 30% customers out of the 6M MAU who have significant and true q-commerce needs but haven't used BBnow due to poor brand awareness and fragmented onboarding experience. Taking a conservative activation rate of 15%, we hope to* ***activate 0.27M users to start, with m-o-m growth of 12%.***

76%
of consumers are more likely to purchase from brands that personalize

78%
of consumers are more likely to repurchase from a brand that personnalises

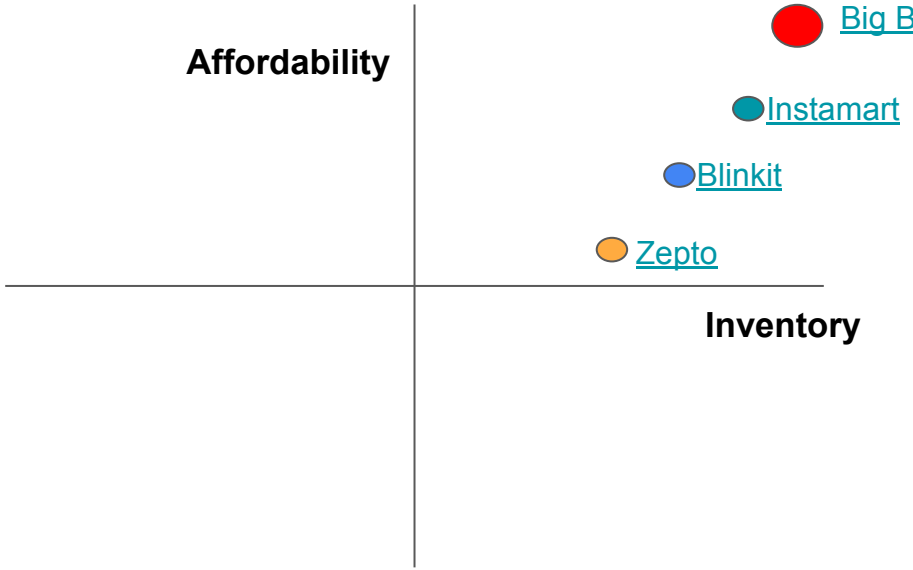
3.5x
Increase in Average order value for brands that personalise recommendations

85%
Industry leading retention rate for regular Big basket app

➔ *We hope to achieve a* ***high retention rate of 85%*** *for BBnow via these personalisation tactics meant for quick needs. This will gradually improve our stronghold in the q-commerce market by lowering our churn rates. We also hope to* ***increase our AOV by at least 2x*** *which helps us ultimately improve our margins.*

Hypothesis #3: Differentiator & Brand Extension strategy

Competitor analysis
(Per needs from UX)



For a given product Instamart was charging a premium than Blinkit which is followed by Zepto, BB now has the most affordable products. Similarly, BB now has the largest inventory as well.

Unmet Needs/White Space

- Leveraging Bigbasket's vast inventory, we prioritize affordable delivery, setting us apart from competitors.
- Bigbasket's household brand trust solidifies our position in the family market, distinguishing us from other apps like Instamart and Zepto.

One Family One Account

Offering a family plan subscription with free deliveries, points, cashbacks & offers based on your spending

- ➔ Leverages loyal household customer base to expand DAUs
- ➔ Unified Q & E-commerce setting accommodates the needs of both young & aged customers
- ➔ Personalized shopping preferences per profile
- ➔ Leveraging relationship with Tata to redeem more offers (Tata Neu Points) for omnichannel loyalty experience.
- ➔ Shared Wallet

GTM for One Family One Account

WHERE should we Compete?

FIRST TARGET

Loyal household customers (Aged 30+)

NEXT TARGET

New customers aged 20+ who might share an account with friends

BUYING MOTIVATION

For better discounts, Tata Neu Points, cashback offers & lower delivery fee based on purchases

Unified wallets experience for earning & non-earning members of an household

COMPETITORS

The target audience of competitors are late GenZs. The household segment is predominantly a whitespace.

Our family centric loyalty program differentiates us from individual centric e-grocery programs in the market for collaborative and rewarding grocery shopping

The 0 subscription fee differentiates us from other flat price subscription programs

HOW should we compete?

VALUE PROPOSITION

Transition from individual workarounds to a seamless, household-centric app interface where each member has their own profile and preferences

Avial better discounts, Tata Neu points, cashback offers & lower delivery fee based on purchases

LAUNCH TACTICS

Launch it to a mature BB market such as Bangalore

Launch after the MVP stabilises

Advertise the benefits inside & outside the app

POSITIONING MESSAGES

One Family, One Account

Big Family, Big Basket

BB's Family account - More offers, More savings, More happiness

+click to see more details

PRICING

A tiered loyalty program designed to provide incentive to customers in every purchase in order to motivate higher spending. 0 subscription fee.

WHY will we WIN?

- ➔ First Mover Advantage
- ➔ Segment expertise
- ➔ User conversion of 25%
- ➔ User retention of 25%, Increase in average revenue per user
- ➔ User opt-in of Min.10%
- ➔ Increase in profits upto 95%
- ➔ Vast inventory & low product price suitable for better discounts
- ➔ Existing very low delivery fee suitable for better delivery offers

Prioritization - RICE Matrix

Solution	Sno.	Feature	Reach	Impact	Confidence	Effort	Total
Hypothesis - #1 : Increase BB Now engagement by Revamping home	1	Unification of entry points for all Big Basket Categories on the home page	5	4	4	2	40
	2	Unification of Cart Experience	3	3	3	3	9
	3	Displaying q-commerce products at the top of search results (with distinction)	3	3	3	3	9
Hypothesis - #2 : Increasing DAU using Personalisation	4	Home page Personalisation	5	4	4	4	20
	5	Ease of Search	3	2	3	2	9
	6	Recommendations on product page	2	2	2	4	2
	7	Recommendations on checkout page	3	2	3	4	5
Hypothesis - #3: Differentiator & Brand Extension strategy	8	One Account One family Subcription	3	4	2	4	6
For the MVP we will build (1) and (3) to test our hypothesis and then iterate further							

MVP (Success metrics & Implementation)

MVP 1:
Unification of entry points for all Big Basket Categories

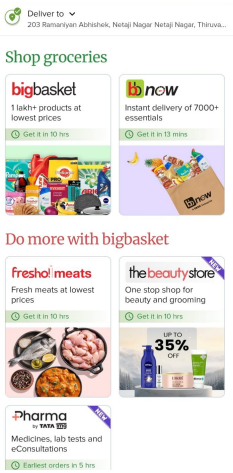
Key Assumptions : BB e-grocery users are not using BBNow because of poor homescreen experience, this is also leading to anchoring bias that BB only does E grocery.

Experiment: A unified home screen would be used in A/B testing (for 2 weeks) that has only 2 sections for Grocery & Q commerce respectively. Audience from metro cities **with no usage of Q commerce** would be targeted in the experiment

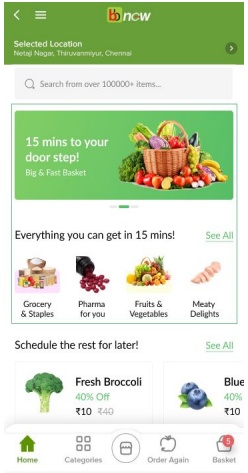
Validation Criteria :
Tracking DAU of BBNow & BB Grocery users are tracked against the control group

Success Scenario:
> 15% activation rate for treatment group
> 5% positive delta in DAU of treatment vs control group
>No negative impact in DAU of BB e grocery

Before



After



MVP 2:
BBnow's Home page personalisation

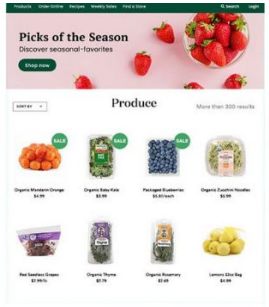
Key Assumptions: Users would order more items when recommended with products relevant to them

Experiment: A 2 week experiment on users from metro cities with low BBnow usage where BBNow's home screen with recommended product section per past purchase, recent searches, occasions & time of the year

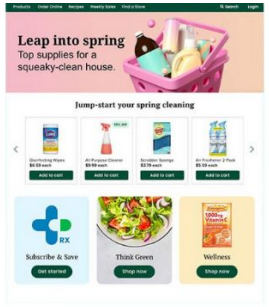
Validation Criteria : Comparing No.of product purchased from recommendation section, AOV & Conversion rate of the users **with recommendation against without recommendation**

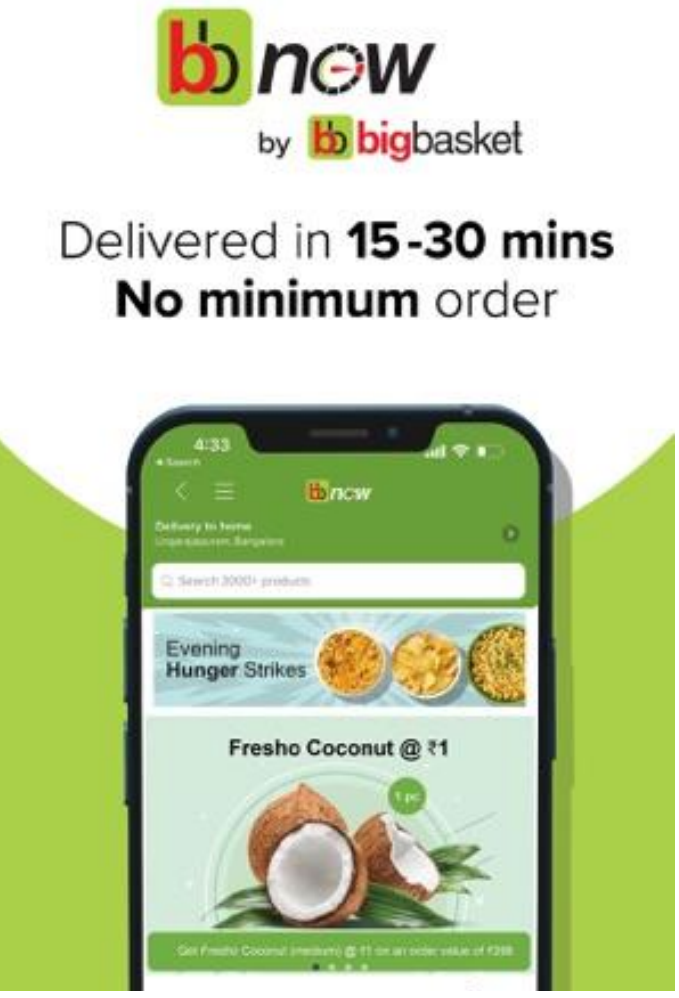
Success Scenario : Increase in AOV by atleast 1.5x , increase in conversion rate by 10%

Before



After





Thank you!

Members

- Meher Sehgal
- Tharun Erukulla
- Swetha S